

Working With

Revolut

to accelerate risk
assessments
and loan approvals

Credit Report Scoring



Success Story

Revolut & CRIFVision-net – Joining Forces for Faster Loan Approvals

When Ireland's No. 1 'Challenger Bank', **Revolut**, wanted to enter the Irish personal loan market, **its goal was to offer fast-start loan approval from their app** without any previous history or legacy data to use to create scoring/approval algorithms. To do this, Revolut needed to find a trusted partner with an intuitive solution that solved their needs.

CRIFVision-net proved to be the perfect partner, offering **a scoring solution built with the needs of Irish lenders in mind**, ultimately aiding in Revolut's quick entry into the market.

The Backstory - Irelands No. 1 Challenger

The 'Challenger Bank' is a term we have all become more familiar with over the last few years. The largest of the companies that challenge traditional banking in Ireland, is **Revolut — a 'Revolut-ionary', fully online bank with over 2 million customers in Ireland.**

What started out as a handy virtual bank account that made splitting restaurant bills with groups of friends instantly less of a headache, has now become the main bank account of many in Ireland, gaining significant market share in a space that is currently losing two of its main players (Ulster Bank & KBC).

This significant growth and market share, along with its banking licence granted by the European Central Bank, has allowed Revolut to begin offering banking services, including loans, through its app.

Sound and reliable risk assessment comes part in parcel with offering credit, and was no different for Revolut when it began its loan journey in Ireland. To ensure best-in-class due diligence and risk assessment, **Revolut employed CRIFVision-net to incorporate a creditworthiness score into their loan assessment process.**

But what challenges were faced, and how did CRIFVision-net help in delivering a streamlined and automated credit approval journey to Revolut — ultimately allowing the fintech giant to quickly enter the Irish market?

The Challenge – Unknown Territory

Revolut entered the Irish market successfully in 2015. However, up until 2021, it had yet to offer a lending proposition in Ireland. The bank wanted to make it as easy as possible to apply for a loan through their app — the Revolut way.

All markets are different, and Revolut sought a local partner to help with its loan assessment. The goal was to ensure that lending decisions would be taken with minimum manual interaction, while at the same time on a fully informed basis, in line with the set risk appetite.

In Ireland, for every loan above €500, the lender must access the Central Credit Register (CCR) — which collects credit information on various types of finance, including consumer loans. This provides a complete picture of the current exposure and past repayment record of any applicant, and informs the lender of whether or not the applicant has a good credit history.

However, the CCR does not provide a score capable of summarising their report, nor does it provide a predictive risk assessment of the applicant profile, which is available in many other markets where Revolut operates.



Ger Fallon
Head of Lending Ireland
Revolut

"We're delighted to have Revolut Loans as part of our financial superapp to give our customers more control and flexibility over their personal finances, in a responsible way. CRIFVision-net's technology was key in facilitating our entry into the Irish loan market by helping Revolut assess our customers in a faster, more automated way."

The Approach – Overcoming a Tough Obstacle

This is where CRIFVision-net came in.

When discussing Revolut's objectives, it became clear to CRIFVision-net that the scoring system, built with the needs of lenders like Revolut in mind, was exactly what the bank needed to successfully interpret CCR data in a more automated way.

With the retirement of the Irish Credit Bureau (ICB), the only reference consumer credit bureau in Ireland before the CCR, the Irish finance industry was left without a 'market' credit scoring system that could effectively assess loan applicants' risk profile based on their current and past financial behaviour. The ICB Score, widely used by a variety of lending institutions, from high street banks to asset finance companies and credit unions, was first introduced in the early 2000's, and has been backed by CRIF technology and expertise since its inception.

Having recognised the gap that the ICB wind-up would open in the market, **CRIFVision-net was quick to step up and implement an alternative scoring model**, leveraging on all the experience gained in over 20 years of cooperation with the Irish Credit Bureau (ICB), and through countless scoring development projects delivered around the world by the CRIF Group.

Prior to launch, the model was tested on a robust sample of credit histories, duly anonymised and supplied by a panel of lending institutions, which allowed to validate its ability to rank incoming applications by expected risk, flagging credit requests that have a higher probability to end up in arrears. A comparative analysis against the 'old' ICB Score was also possible, which showed a high degree of consistency between the two models — something that facilitated adoption from past ICB Score users.

The score is made **available by CRIFVision-net via API through the CRIF Gateway platform**. Results are returned via data feed, and in a convenient PDF report.

This innovative product fits perfectly with Revolut's needs, and the bank ultimately decided to work with CRIFVision-net, and incorporated the CRIF Credit Score into their loan decisioning system to enter the Irish market. This three digit score allows Revolut's system to calculate a probability of default instantaneously.

The Overall Result – Fast Market Entry

CRIFVision-net was able to combine its local knowledge and presence with over 20 years' experience in scorecard development to deliver a unique solution to answer Revolut's requirements. In turn, the solution helped the bank to enter the Irish personal loan market, having the support of a global Fintech company that specialises in credit scoring.

These elements combined were the perfect mix and balance for Revolut, now offering loans from within its app — its decisions facilitated by the CRIFVision-net Credit Score.

"CRIFVision-net are delighted to be able to partner with Revolut in helping them achieve their goal of screening and risk assessing their customers in a seamless and automated way"



Giovanni Catinari
Business Development Director
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